



Bureau of Experts at the Council of Ministers
Official Translation Department

Anti-Commercial Fraud Law

Royal Decree No. M/19
April 29, 2008

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

otd@boe.gov.sa



Anti-Commercial Fraud Law

Chapter 1: Definitions

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

Law: Anti-Commercial Fraud Law.

Regulations: Implementing Regulations of the Anti-Commercial Fraud Law.

Fraudulent Product:

- A. Any product that has been altered or tampered with in a manner that causes it to lose some of its material or moral value, by means of addition, reduction, manufacturing, or any other means, whether in its substance, nature, kind, type, shape, components, features, requirements, characteristics, origin, or quantity in terms of weight, volume, measurement, number, capacity, or caliber.
- B. Any product that does not conform to approved standard specifications.
- C. Defective product: Any product that is no longer fit for utilization, use, or consumption, as specified in the Regulations.

Approved Standard Specifications: The specifications issued by the Saudi Arabian Standards Organization, or issued by any other local or international body and adopted by said Organization.

Ministry: Ministry of Commerce and Industry.

Minister: Minister of Commerce and Industry.



Chapter 2: Violations

Article 2

Any person who commits any of the following acts shall be deemed a violator of the provisions of this Law:

1. Deceiving, or attempting to deceive, by any means in any of the following:
 - a) A product's substance, nature, kind, type, components, or essential characteristics.
 - b) A product's origin.
 - c) A product's quantity, whether in terms of weight, volume, measurement, number, capacity, or caliber.
2. Committing or attempting to commit product fraud.
3. Selling or displaying a fraudulent product.
4. Acquiring a fraudulent product with the intent to sell it.
5. Manufacturing, producing, acquiring, selling, or displaying products that do not conform to approved standard specifications.
6. Using canisters, vessels, packages, containers, or labels that do not conform to approved standard specifications, in preparing products for sale.
7. Filling, packing, tying, distributing, storing, or transporting products in a manner that does not conform to approved standard specifications.
8. Importing, manufacturing, printing, acquiring, selling, or displaying containers, packages, or printed materials used in fraud.
9. Importing a fraudulent product.

Article 3

If a fraudulent product is distributed, the producer, importer, and distributor shall provide the Ministry with information relating to the quantity of such product as well as the names and addresses of the retailers to whom it was distributed, immediately upon becoming aware of the violation, after a public announcement is made, upon being notified of the violation at the address recorded in the Commercial Register or with the Chamber of Commerce and Industry, or upon the preparation of a detection and recording report.

Article 4

Price markdowns and promotional contests may not be conducted by any means without obtaining a license from the Ministry.



Chapter 3: Detection and Recording, Investigation, and Trial

Article 5

Employees from the Ministry, the Ministry of Municipal and Rural Affairs, and the Saudi Food and Drug Authority, appointed pursuant to a decision by the Minister upon the approval of their relevant agencies, shall individually or collectively detect and record violations of the provisions of this Law. Such employees shall be deemed detection and recording officers and shall be under the authority and supervision of the Ministry.

Article 6

If a detection and recording officer has reason to believe that the provisions of this Law are being violated, he may collect samples of the suspected product for analysis, and he shall prepare a detection report of the incident which includes all the information necessary to verify the samples and the product, as specified in the Regulations.

Article 7

A retailer shall be prohibited from disposing of a suspected product before it passes testing.

Article 8

In case of food products, the competent agency shall test the product and release the results within a period not exceeding 15 days. The Regulations shall specify the relevant periods for other products.

Article 9

It shall be prohibited to prevent detection and recording officers from performing their duties of inspection, detection, and recording; entering factories, warehouses, stores, or other shops; or collecting samples of suspected products. Such officers shall present their credentials, and they shall have the power to close a shop until they are allowed to enter.

Article 10

Rules for granting rewards to the employees referred to in Article 5 of this Law shall be issued pursuant to a resolution by the Council of Ministers, upon a recommendation by the Minister in coordination with the Minister of Municipal and Rural Affairs and the CEO of the Saudi Food and Drug Authority.

Article 11

A reward not exceeding 25% of the amount of the collected fine shall be granted to any person, other than the employees referred to in Article 5 of this Law, who assists in exposing cases of commercial fraud, where such assistance leads to the conviction of the violators, in accordance with the Regulations.

Article 12

The Bureau of Investigation and Public Prosecution shall have jurisdiction to investigate and prosecute the violations provided for in this Law.



Article 13

The Board of Grievances shall have jurisdiction to consider all violations, disputes, and compensation claims arising from the implementation of the provisions of this Law.

Article 14

Any violator of the provisions of this Law shall be deemed to be aware that the product is fraudulent, and the buyer's knowledge of the same shall not preclude the imposition of the prescribed penalty upon the violator.

Article 15

The seller, the person on behalf of whom a product is distributed, and the managers of companies, cooperatives, establishments, and shops shall be held liable for any violation of the provisions of this Law, and each of such persons shall be subject to the prescribed penalties. If any of them establishes that the violation is due to reasons beyond his control, the penalty shall be imposed only on the violator.

Chapter 4: Penalties

Article 16

Any person who commits any of the violations provided for in Article 2 of this Law shall be subject to a fine not exceeding five hundred thousand riyals or imprisonment for a period not exceeding two years, or to both penalties.

Article 17

Any person who commits the violation provided for in Article 4 of this Law shall be subject to a fine not exceeding fifty thousand riyals or imprisonment for a period not exceeding six months, or to both penalties.

Article 18

A fine not exceeding one million riyals (SAR 1,000,000) or imprisonment for a period not exceeding three years, or both penalties, shall be imposed in the following cases:

1. The fraud or attempted fraud is combined with the use of false or nonstandard weights, measurements, measures, stamps, or other devices, or with the use of means and methods that would render the process of weighing, measuring, or testing a product inaccurate; or the fraudulent product or the materials used to render such product fraudulent are harmful to the health of humans or animals.
2. Commission of any of the violations provided for in Articles 3, 7, and 9 of this Law.

Article 19

Without prejudice to the penalties provided for in Article 18 of this Law, any person who disposes of seized products shall be subject to a fine equal to their value.



Article 20

Without prejudice to the penalties provided for in this Law, a judgment may be rendered to close the place subject of the violation for a period not exceeding one year, for the violations provided for in Article 2 of this Law.

Article 21

If fraud is established, the fraudulent product shall be destroyed or disposed of in any appropriate manner, and the tools used in the commission of the fraud or deception shall be confiscated. The Regulations shall specify the manner of disposing of the same.

Article 22

Without prejudice to an aggrieved party's right to claim compensation for damages arising from the commission of any of the violations provided for in this Law, a violator shall withdraw the fraudulent product and refund buyers, in accordance with the conditions and procedures specified in the Regulations.

Article 23

The Bureau of Investigation and Public Prosecution may request the imposition of a travel ban on any person established to have committed a violation of the provisions of this Law pending the issuance of a final judgment. In case of conviction, the competent agency shall order the deportation of an expatriate violator after the judgment is enforced, and said violator shall not be allowed to return to the Kingdom for work.

Article 24

If a violator repeats any of the violations provided for in this Law within five years from the date of issuance of the final judgment, he shall be subject to a penalty not exceeding double the maximum penalty prescribed for the violation. If he repeats the violation again, he shall—in addition to the prescribed penalties—be banned from engaging in commercial activities for a period not exceeding five years.

Article 25

In convictions for any of the violations provided for in the previous articles, a summary of the final judgment shall be published at the convicted person's expense in two daily newspapers at least one of which is published in the area where the violation occurred or the nearest area thereto.

Article 26

The penalties provided for in this Law shall apply to any person who participates in or incites the commission of a violation.

Article 27

The Minister may, in exigent circumstances, order the provisional attachment of a product and its withdrawal from the market if fraud is suspected. The attachment order shall be submitted to the Board of Grievances within a period not exceeding 72 hours, as provided for in the Regulations, to confirm or annul the attachment.



Chapter 5: Concluding Provisions

Article 28

The Minister shall issue the Implementing Regulations of this Law, and they shall be published in the Official Gazette within 90 days from its issuance date.

Article 29

This Law shall supersede the Anti-Commercial Fraud Law issued by Royal Decree No. M/11, dated 29/5/1404H.

Article 30

This Law shall be published in the Official Gazette and shall enter into force 90 days from its publication date.



Appendix

Amendments

July 11, 2018 (Shawwal 27, 1439H)

Royal Decree No. M/108 provides for the following:

- Amending Article 25 to read as follows:

"The competent court shall, in judgments imposing the penalty of imprisonment for any of the violations provided for in the previous articles, provide for the publication of a summary of the judgment at the violator's expense. The competent court may also order the publication of the summary of judgments imposing penalties other than imprisonment. The court shall determine the manner of publication, whether in a local newspaper or through any other appropriate medium, according to the type, gravity, and impact of the violation, provided that publication is made only after the judgment becomes final".

September 19, 2018 (Muharram 9, 1440H)

Royal Decree No. M/10 provides for the following:

- Amending Articles 13 and 27 to read as follows:

"Article 13

The competent court shall have jurisdiction to consider all violations, disputes, and compensation claims arising from the implementation of the provisions of this Law".

"Article 27

The Minister may, in exigent circumstances, order the provisional attachment of a product and its withdrawal from the market if fraud is suspected. The attachment order shall be submitted to the competent court within a period not exceeding 72 hours, as provided for in the Regulations, to confirm or annul the attachment".

May 8, 2019 (Ramadan 3, 1440H)

Royal Decree No. M/101 provides for the following:

- Amending Article 5 by adding the phrase "the Ministry of Energy, Industry, and Mineral Resources" after the phrase "the Ministry of Municipal and Rural Affairs".

April 15, 2021 (Ramadan 3, 1442H)

Royal Decree No. M/76 provides for the following:

- Amending Article 5 by adding the Ministry of Health to the agencies mentioned in the Article.



August 5, 2021 (Thul-Hijjah 26, 1442H)

Royal Decree No. M/109 provides for the following:

- Amending Article 23 to read as follows:

- "1. The Public Prosecution may request the imposition of a travel ban on any person established to have committed a violation of the provisions of this Law pending the issuance of a final judgment.
2. If a final judgment is rendered convicting a non-Saudi person of committing any of the violations provided for in Article 2 of this Law, the Ministry of Interior may order that said person be deported and barred from entering the Kingdom, in accordance with controls to be set by the Ministry of Interior, the Ministry, and the Ministry of Investment".